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Chinese Food-grade Soybean Buyers Impressed with U.S. Soybean Quality and Processing Facilities

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Report Highlights:

China's demand for imported food-grade soybeans continue to increase, however U.S. food-grade soybeans suffer from poor Chinese consumer perceptions and restrictive import "zero tolerance" policies. The Agricultural Trade Office (ATO) in Beijing suggests U.S. food-grade soybean producers invest in educating trading partners on the U.S. non-GMO soybean production process, and participate in more direct contact with buyers by attending trade shows and industry conferences in China.

Introduction

In August 2017, ATO Beijing led Chinese buyers on a food-grade soybean reverse trade mission to North Dakota. China's food processors are increasingly seeking to import food-grade soybeans to meet consumer demand for soy-based foods. Industry observers note that, as a result of advantageous import prices and purchasing convenience, many soy food processors in China's coastal provinces are sourcing imported soybeans to produce tofu, soy milk and other foods. For more information on China's demand for food-grade soybeans please refer to USDA's 2017 report [Growing Opportunities in China for U.S. Food-Grade Soybeans](#).

Trip Highlights

This mission focused on sourcing U.S. food-grade soybeans for Chinese food manufacturing. The participants met with producers and visited production areas. Most importantly, they were able to tour processing facilities, and received information about how food-grade soybeans are tested for quality, and how they are protected against contamination. The mission members were amazed by the high quality of U.S. food-grade soybeans, and impressed with the advanced processing facilities in North Dakota. ATO hopes the Bean Products of China (BPOC) and North Dakota Trade Office (NDTO) will continue to plan further marketing and trade opportunities.



North Dakota State University Professor Zhisheng Liu shows mission participants a soybean food processing line (left). Participants visit soybean crops outside Fargo, North Dakota (right).

Recommendations for U.S. Food-grade Soybean Exporters

It may still take time before Chinese traders purchase significant amounts of U.S. food-grade soybeans. Many Chinese consumers and soybean buyers erroneously assume that all U.S. soybeans have been genetically modified (GM). They are not aware that the United States produces (and can produce even more) non-GM, food-grade, soybeans. Genetically modified organism (GMO) safety has been hotly debated in China by official (government controlled) media outlets and unofficial (e.g., social media; consumer groups) communication channels. It appears that Chinese consumers are becoming more suspicious of GMOs rather than more accepting. The Chinese government initially encouraged society's suspicion of GMOs, because this suspicion could be used as a potential trade policy lever to influence imported food and other agricultural products. More recently, Chinese society has now begun to criticize GMO products on their own accord. Furthermore, many Chinese consumers are highly suspicious of food safety in general, because of the recent publicized domestic food safety scandals in China.

Unfortunately, no on-site sales were generated from this mission. ATO believes this was caused by two broad impediments. Chinese importers were convinced that the high quality beans would be good for food manufacturing. However the importers' clients, Chinese food manufacturers, would be cautious to use the beans simply because they do not want the consumers to know they were from the United States. Additionally, the Chinese government retains a zero tolerance policy for unapproved biotechnology traits in imported products. Traders are afraid of purchasing large quantities of non-GMO grain only to have it rejected at the port, because trace amounts of GMO grain was found. For a more extensive explanation of China's agricultural biotechnology policies, see [USDA's 2016 Annual Agricultural Biotechnology report](#).

ATO Beijing has several suggestions for how to grow U.S. food-grade soybean exports. U.S. producers should consider investing in education and product awareness. This mission successfully demonstrated to participants the highly developed nature of U.S. food-grade soybean processing, superior bean quality, and the strict process ensuring these food-grade soybeans are kept separate from GMO varieties. ATO Beijing will continue work with NDTO and BPCC to strengthen the image of U.S. food-grade soybeans in the China. Exports would also be greatly facilitated if China relaxed their existing zero tolerance policy for unapproved biotechnology traits in imported products.

ATO staff suggests that marketing efforts seek to change the impression in the minds of Chinese consumers that the United States only produces GMO soybeans. While this may appear like a daunting challenge, ATO Beijing has several specific suggestions. Food-grade soybean producers should consider attending major food trade shows in China such as SIAL and FHC. U.S. food-grade soybean producers are smaller, more geographically dispersed, and less organized than other agricultural production groups, thus regional and state trade groups may need to do some of this work until private industry associations can take over. Additionally, Chinese consumers react well to marketing promotions showcasing the "natural" aspects of food products, and how these products fit into healthy lifestyles. U.S. food-grade soybeans can be used in many traditional Chinese health foods such as tofu and soy milk. These may be avenues U.S. food-grade soybean producers use to entice Chinese consumers and/or food manufacturers to build their confidence in U.S. food-grade soybean products.